

years hence, then you have to decide what multiple the market will put on those earnings to arrive at a likely market price, and when interest rates are high, multiples are lower.

We tend to overestimate the probable earnings of our stocks, because we buy the ones we like best. Prices are set by optimists.

One way to define an interest rate is to see it as a message from the future to the present; the rate tells us how much a promise of money in the future is worth now. We know that if inflation is high—and interest rates will therefore be high as well—current dollars will be worth less in the future. A reverse process determines present values. If interest rates go to very high levels, present values go down. Discounted at 12 percent a year—the interest rate in 1980, for example—a promise of \$100 in twenty years is worth only \$10 now. That's why in the mid-eighties, when interest rates dropped back from 12 percent to 7 percent and the worth of \$100 promised in twenty years climbed to \$26, P/Es and stock prices shot up. Growth stocks, most of whose payoff is in the future, went up faster than dividend-paying value stocks.

So our model gives us a likely price for the stock two years hence, given our earnings estimates and a P/E that reflects an interest rate assumption; then we can compare that target price, and a probable rate of return for the two years, to what most analysts are expecting. A stock is cheap, and a probable buy, if our expectations are higher than the consensus.

We can prove wrong in our assumptions, of course. It's a land mine problem: If you have soldiers advancing against the enemy,